Autonomy of the Reserve Bank in Theory and Practice

Under law, the Reserve Bank is not fully autonomous. The RBI Act lays down that: 'The Central Government may give directions to the Reserve Bank where considered necessary in public interest to do so, but after consultation with the Governor.' It is possibly this legal provision that is at least partly behind the perception that the Reserve Bank is not independent. But two points are to be noted here. First, the authority of the government to 'direct' the Reserve Bank is not absolute; it is circumscribed by the need to consult the governor beforehand, as well as the requirement that the direction be in the public interest. Second and more importantly, in the eighty years that the Reserve Bank has been in existence, the government has not invoked this provision even once. In some sense, this is a tribute to the sense of responsibility of both the government and the Reserve Bank.

But that is on the formal side. What about informal interference behind the scenes? Let me first talk about monetary policy. I have been asked several times if there was pressure from the government on setting interest rates. There certainly was, although the precise psychological mechanics of pressure would vary depending on the context, setting and the personalities.

I have already written about how I would schedule a meeting with the finance minister before every policy review to apprise him of the macroeconomic situation and of my proposed policy decision. For much of the time during my tenure, although not always, there were differences of view on the anti-inflation stance of the Reserve Bank. Both Chidambaram and Pranab Mukherjee were piqued by the Reserve Bank's tight interest rate policy on the ground that high interest rates were inhibiting investment and hurting growth.

As a columnist for the *Indian Express* after demitting office, Chidambaram wrote on 2 August 2015 ('Across the Aisle—Monetary Policy Committee: Vote or Veto?'): 'There is a view among commentators that finance ministers and central bank governors are always at loggerheads. That view may make interesting copy but it is far from the truth. On 8 out